

ADVANCED MICRO DEVICES, INC.

(NASDAQ: AMD)

Fourteen Gigawatts of Contracts, Priced for Forty

REDUCE — \$163.00 Target

Equity Research Note · Technology — Semiconductors (AI Accelerators & Server CPUs) · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
REDUCE	\$163.00	\$633.91	-74.3%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$1.03 tn (~1.66 bn dil. sh x \$633.91)	Q3'26 guide	~\$13.0 bn (+41% YoY)
Enterprise value	~\$1.03 tn	2027 data-center guide	~\$70 bn (~2x YoY)
Net cash	~\$8.8 bn	Contracted deployments	~14 GW (OpenAI 6 / Meta 6 / Anthropic 2)
52-week range	~\$160.49 - \$645.46	Street consensus target	~\$620 (Buy)
TTM / forward P/E	~161x / ~57x	Next catalyst	Q3 results (early Nov)
Q2'26 revenue / data center	\$11.54 bn / \$6.72 bn (+107%)		

1 Investment Thesis

AMD has crossed the line from challenger narrative to contracted infrastructure supplier. Fourteen gigawatts of committed deployments across OpenAI (6GW), Meta (6GW), and Anthropic (2GW) — with warrants that only vest as silicon ships — turn the 2027 revenue ramp from a forecast into a delivery schedule. The strategic question is not whether AMD can sell the 2027 wave — it is sold — but what happens after the first wave is delivered. We see a genuine multi-year runway: hyperscaler capex near \$800 billion in 2026 and headed toward \$1.3 trillion in 2027, sovereign AI as a new customer class, and AMD establishing itself as the credible second source with double-digit AI-accelerator share. But the price has skipped the debate entirely.

At \$633.91, AMD is valued as if the supercycle never fades and AMD captures far more than double-digit share. The arithmetic is unforgiving: \$634 implies roughly \$1.3 trillion of mid-2030s revenue — a ~44% decade CAGR, about four to five times our bull case. Our three scenarios are \$34 / \$153 / \$312, weighted to a \$163 target, -74.3% against the quote. The business thesis is intact; the price is not. That is the entire note in two sentences, and the valuation section shows the work.

What this note does differently from a standard DCF: near-term visibility is unusually high, because demand is contracted, not extrapolated. Our 2027–28 revenue assumptions track the stated targets — data center revenue doubling to ~\$70 billion in 2027, with AI GPUs in the low \$40 billions — rather than being mechanically haircut, because those targets are now backed by named, milestone-linked deployments: OpenAI's first gigawatt of MI450s deploying in H2 2026, Meta's on the same timeline, Anthropic's first gigawatt in H1 2027, Oracle's initial 50,000 MI450s starting Q3 2026, and a \$1.2 billion Vultr Helios order deploying in Q4 2026. Demand evidence must be AMD-specific, not 'AI is hot' — and here it is: \$29–30 billion of AMD's own supply purchase commitments, the largest TSMC allocation increase of any customer, and ~10% price increases on AI accelerators. Companies short on demand do not raise prices.

All of the skepticism therefore concentrates where it belongs: in duration and fade. Our base case gives the hypergrowth phase through 2029 — the committed 14GW deploys through the 2030 milestone schedules — then fades growth into the single digits with through-cycle FCF margins of 18%. The bull case extends the supercycle through 2032 (sovereign AI plus an inference replacement cycle) with 22% terminal FCF margins — still only \$312. The bear case is the honest version of 2028–29: the 2026–27 pre-build overshoots, book-to-bill collapses below 1.0, the \$8.5 billion inventory build becomes a glut, revenue falls ~13% in 2029, and margins compress 500bp as price cuts clear the channel. Bear \$34 — below the price, as a bear must be. REDUCE.

Why the demand is real — and why the price is wrong anyway

- **The demand evidence is verifiable, not narrative.** 14GW contracted across three named counterparties; Oracle and Vultr diversifying the order book; seven of the world's top 10 AI companies now using Instinct GPUs; supply-side commitments matching demand. Q2 2026 printed \$11.54 billion of revenue (+50% YoY) with data center at \$6.72 billion (+107%).
- **\$634 prices ~5x the bull case.** Even giving AMD the supercycle through 2032 and 22% through-cycle FCF margins — a genuinely heroic outcome — fair value is \$312, less than half the quote. The market is not pricing the contracted wave; it is pricing a second and third wave nobody has contracted.
- **320 million warrants are ~20% potential dilution.** The OpenAI and Meta warrants (160 million each at \$0.01) are the price of the contracts. The dilution is real, becomes visible in 2027–28 financials, and our per-share values reflect scenario-specific vesting (1.70 / 1.80 / 1.95 billion shares).
- **The cycle will turn.** Every semiconductor supercycle ends in a digestion phase. Our bear case prices it in 2028–29; the market prices no digestion at all.

2 Business Overview — What Advanced Micro Devices Is Doing

(Santa Clara, California)

Advanced Micro Devices (founded 1969, Santa Clara) is a fabless semiconductor company whose center of gravity has shifted decisively to the data center. The Data Center segment — EPYC server CPUs and Instinct AI accelerators — did \$6.72 billion in Q2 2026 (+107% YoY), 58% of total revenue, and is expected to roughly double to ~\$70 billion in 2027, with AI GPUs in the low \$40 billions and server CPUs most of the rest. The product engine is the Helios rack-scale AI platform: up to 72 Instinct MI400/MI450 accelerators paired with 6th-gen EPYC 'Venice' CPUs and Pensando networking — AMD's answer to NVIDIA's Vera Rubin, sold as a full system rather than merchant silicon. MI450 production shipments began in Q3 2026 with a sharp Q4 ramp; MI500 is in customer development for 2027.

The rest of the business — Client (Ryzen), Gaming (semi-custom), Embedded (Xilinx) — is roughly \$20 billion of durable, slower-growing revenue that funds the AI build-out and provides ballast if the accelerator cycle turns. Balance sheet: ~\$13.1 billion of cash and short-term investments against ~\$4.3 billion of debt (~\$8.8 billion net cash); no refinancing pressure. The P&L is inflecting: Q2 non-GAAP EPS of \$1.66 versus \$0.48 a year earlier, data center operating margin 31.3%.

What the company is doing now

- **Customer concentration is extreme.** Three counterparties account for the 14GW. If any one of them pauses, the 2027 guide is at risk — two of the three CEOs publicly argued for slowing AI capability advancement this year.
- **Margins compress before they expand.** Gross margin edges lower in Q4 and through 2027 as MI450 ramps; rack-scale Helios is a lower-margin systems sale than merchant silicon. The Q2 FCF print (\$1.6 billion) was flattered by a ~\$2.4 billion payables stretch.
- **CUDA is still the moat AMD doesn't have.** ROCm is improving but the software gap is the reason AMD is the second source — and second sources get second-source economics when the cycle turns.
- **Competition sets the terms.** NVIDIA (>90% AI-accelerator share) defines the market; Broadcom's custom silicon with OpenAI attacks the same diversification budget; hyperscaler ASICs increasingly absorb inference workloads. AMD's moat is execution plus openness — loved in shortages, squeezed in gluts.

3 Financial Analysis

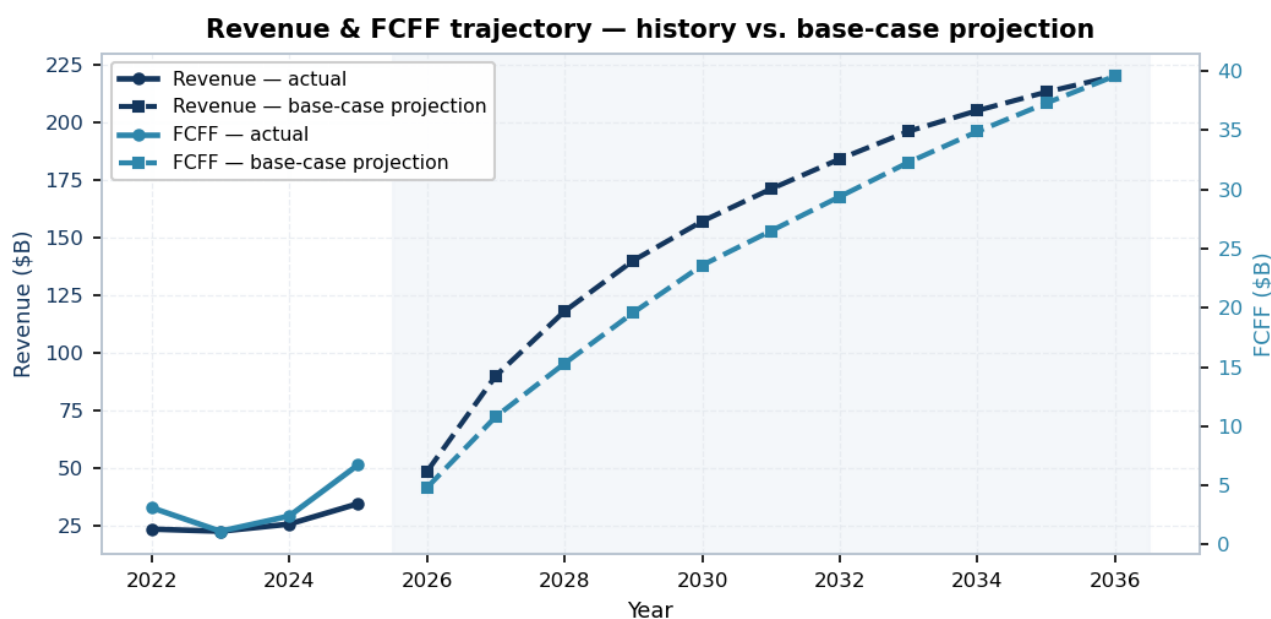
\$ bn	FY2024	FY2025	Q2'26
Revenue	25.785	34.639	11.54
Data center revenue	—	—	6.72
Net income	1.641	4.335	—
Free cash flow	2.405	6.735	1.6

Source: company filings via yfinance (FY ends Dec 31); Q2'26 per company release. Q2 FCF flattered by a ~\$2.4 bn payables stretch.

Revenue grew from \$23.6 billion in FY2022 to \$34.6 billion in FY2025, with free cash flow inflecting from \$1.1 billion (FY2023) to \$6.7 billion (FY2025) — the operating leverage of the data-center mix shift arriving. Net income of \$4.3 billion in FY2025 is up 5x from FY2023. The business is performing; only the price is in question.

The balance sheet is a fortress: ~\$8.8 billion of net cash, no refinancing pressure, and supply-side commitments (\$29–30 billion of purchase commitments) that match the contracted demand. The financial risk in this note is not distress — it is duration: how long the hypergrowth lasts before the digestion phase arrives.

Revenue & cash-flow trajectory



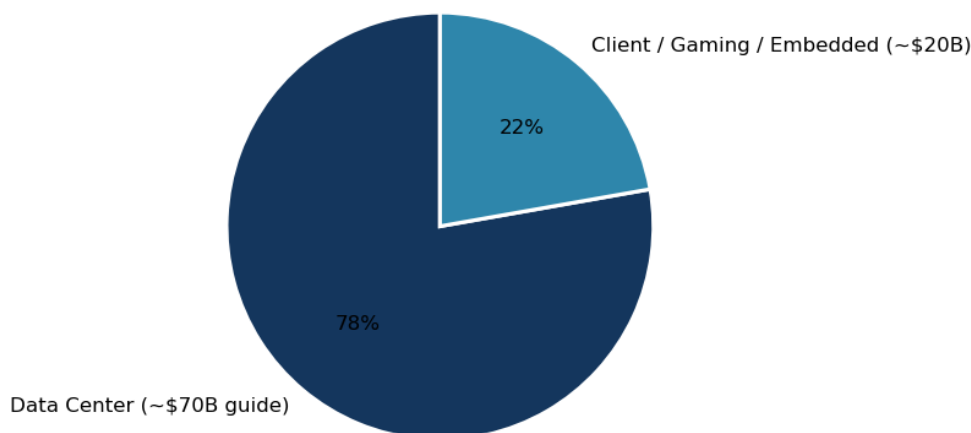
History: company filings via yfinance (FY ends Dec 31). Projection: base-case FCFF path from this note's scenario DCF — the contracted wave through 2029, fading from 2030.

4 Moat & Competition

- **The credible-second-source position is the moat — and it is cyclical.** AMD is the only credible alternative to a single supplier the entire industry is desperate to diversify away from. That diversification bid is real, but second sources are loved in shortages and squeezed in gluts.
- **Rack-scale systems capability (ZT Systems).** Helios moves AMD up the stack from merchant silicon to full systems — higher content per deployment, but a new execution muscle with qualification risk.
- **Open ecosystem vs. CUDA lock-in.** An open Ethernet/software stack appeals to customers allergic to lock-in — a genuine differentiator that nonetheless loses to CUDA's installed base in a downturn.
- **No software moat.** ROCm is improving but the software gap is structural; AMD wins on openness and price, which compress first when the cycle turns.

2027E revenue mix — base case (\$bn)

2027E revenue mix — base case (\$bn)



5 Valuation — 10-year scenario FCFF DCF, Fair Value \$163

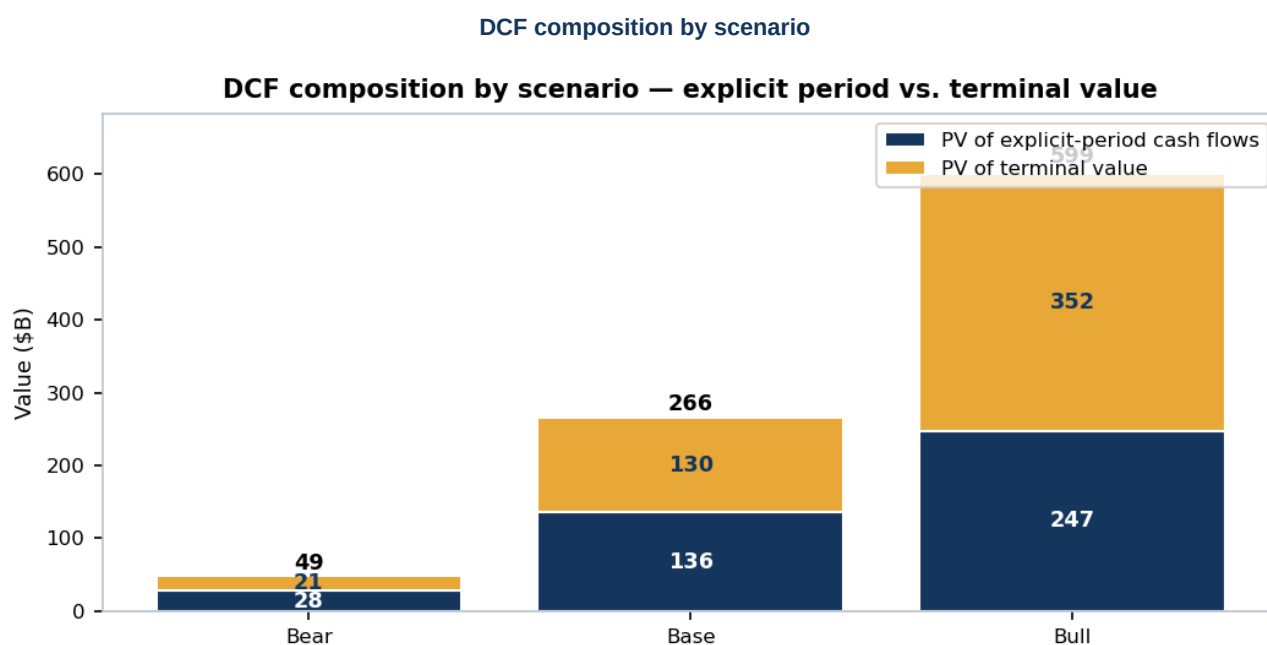
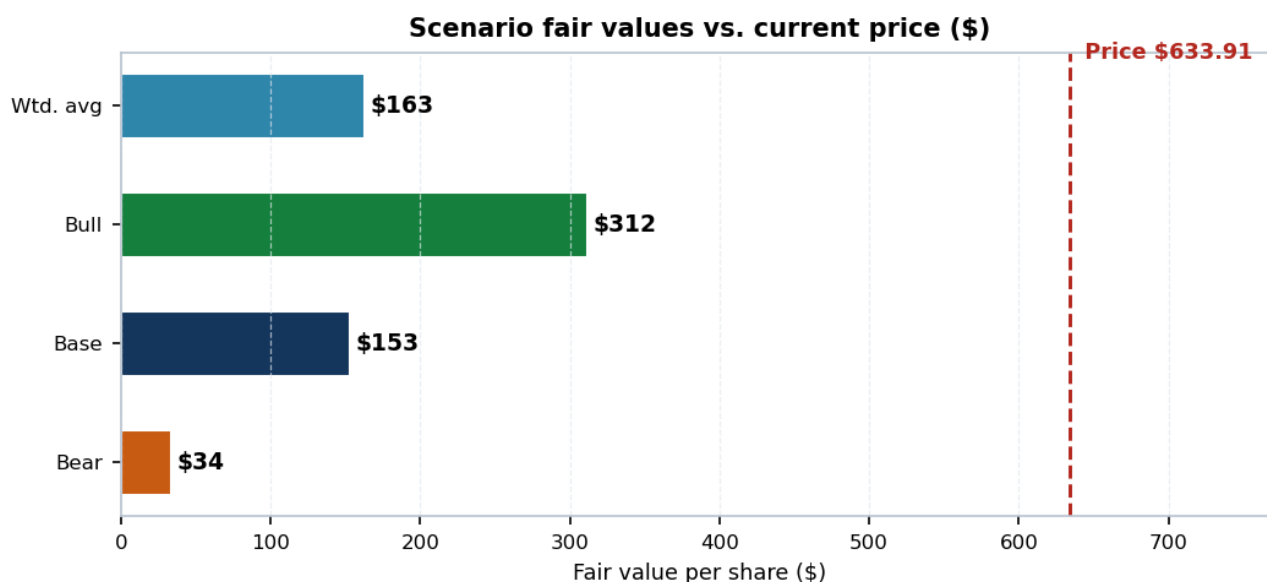
We value AMD on a 10-year explicit free-cash-flow DCF (FY2026–2036), weights bear 25% / base 50% / bull 25%. Scenario discounts: base 12.0% (beta 2.55, extreme customer concentration, warrant overhang, cyclical semiconductors), bear 14.5% (base + 250bp), bull 10.5% (base – 150bp). Terminal growth 0% / 2.0% / 2.0% on year-10 FCF at normalized through-cycle margins (never peak). Equity = firm EV plus ~\$8.8 billion net cash, over scenario-specific diluted shares (1.70 / 1.80 / 1.95 billion) reflecting warrant vesting that scales with deployment success. FY2026E revenue anchor: \$48.5 billion.

The base case is the contracted wave, priced honestly: 2027 revenue of \$90 billion sits at the \$70 billion data-center guide plus ~\$20 billion for the rest of the business — no haircut, because 14GW of named deployments and \$29–30 billion of supply commitments are verifiable demand. Growth runs +31% (2028), +19% (2029), then fades from 2030. FCF margins build from ~10% to a through-cycle 18%. Result: \$152.50 → \$153. The bull (\$311.94 → \$312) extends the supercycle through 2032 and still lands at less than half the quote. Terminal value is 43–59% of EV across scenarios (no haircut required).

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	2026–27 pre-build overshoots; book-to-bill below 1.0; \$8.5 bn inventory build becomes a glut; revenue falls ~13% in 2029; margins compress 500bp; terminal growth 0%	+6.5%	13%	14.5% / 0.0%	43%	\$34.00
Base	Contracted 14GW wave delivers; 2027 revenue \$90 bn; hypergrowth through 2029, fade from 2030; through-cycle FCF margins 18%	+16.3%	18%	12.0% / 2.0%	49%	\$153.00
Bull	Supercycle through 2032 — sovereign AI plus inference replacement cycle; 22% terminal FCF margins; still less than half the quote	+22.3%	22%	10.5% / 2.0%	59%	\$312.00
Wtd. avg	Probability-weighted (25/50/25) → \$163.00 target					\$163.00

Scenario FVs from the note's model (bear \$34.11 / base \$152.50 / bull \$311.94); $0.25 \times \$34 + 0.50 \times \$153 + 0.25 \times \$312 = \162.76 , rounded to the \$163 target. PV splits in \$B from the scenario DCF.

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$B. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Customer concentration.** Three counterparties account for the 14GW; a pause by any one breaks the 2027 guide.
- **Warrant dilution (~20%).** 320 million shares at \$0.01 vesting on deployment and price milestones; visible in 2027–28 financials.
- **Execution on Helios/MI450.** Rack-scale systems are a new muscle; qualification slips or yield issues push the wave right.
- **CUDA/ROCm gap.** The software moat is NVIDIA's; AMD wins on openness and price, which compress first in a glut.

- **Cycle digestion.** \$8.5 billion of inventory plus channel pre-building; if 2027 demand was pulled forward, 2028–29 is the cliff.
- **Hyperscaler ASICs and export controls.** Custom silicon competes for the same diversification budget; export controls remain a geopolitical overhang.

What would change our mind

We would withdraw the REDUCE on sustained book-to-bill above 1.5 with lead times extending into 2028 (evidence the wave is bigger than contracted), or year-10 revenue tracking toward \$300 billion-plus with FCF margins above 20% — neither of which the current evidence supports. Conversely, if book-to-bill falls below 1.0 for two consecutive quarters or lead times normalize, the contracted-demand assumption is withdrawn and the bear case becomes the base case. Watch Q3 results (early November) and Q4 Helios shipment volumes against the \$70 billion 2027 data-center guide.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.